

Earnings came in a few days ago and net sales as of 6 October were up 9.3% for 5 weeks ending 1 Oct, SSS [same-store sales] up 2.6% for the period. Book score +2.”

The book score is from my book, *Trading Classic Chart Patterns* (Wiley, 2002). Scores above 0 have a greater probability of beating the average rise. Usually I scribble down the target calculated by the scoring system but didn't in this case.

The buy stop triggered the next day and filled at 21.70 to 21.71. This was another case of buying before the pattern confirmed, about a week too early. But it allowed me to buy in at a lower price than waiting for confirmation. In this trade, it made a difference.

Let me be clear on this. I placed a buy stop a penny above the confirmation price of 21.69, and the order filled. However, the pattern didn't confirm at that time. Confirmation happens when the stock *closes* above the confirmation price, and that didn't happen until about a week later.

Three days later, I placed a stop-loss order at 20.32. “This is a volatility stop because one placed below the double bottom low was too far away, and the stock is up this morning. It would have to fall 6% to trigger it. I used the low on 14 October at 21.13 – 0.81 to get 20.32.”

What I want to mention here is that I felt the stop below the bottom of the pattern was too far away. So I chose to use a volatility stop instead.

On 20 October 2005, I placed a buy order that executed the next day to buy more shares of the stock, doubling my position. The double bottom had confirmed the day before, so this was the optimum entry, made at 22.78, the opening price for the stock. The problem was, confirmation was at 21.69, which is more than a buck below where I bought.

- Lesson: I often choose to use a buy stop placed a penny above confirmation to get in at a good price even at the risk of a premature breakout (the trading price during the day exceeds confirmation but the closing price remains lower).

I did a study on entry methods and found that using a buy stop instead of waiting for confirmation actually reduces risk and increases profits.